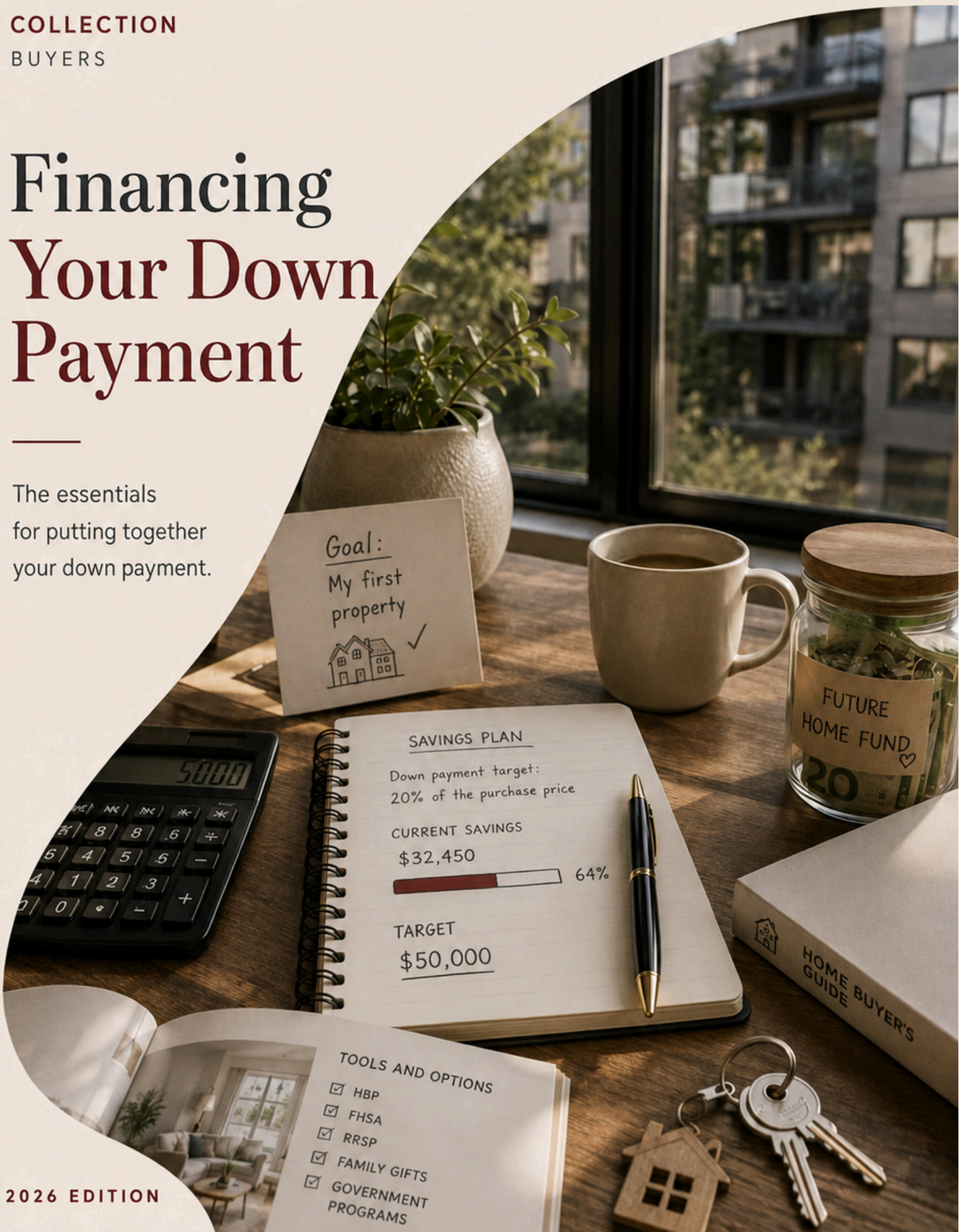
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Nº 10

COLLECTION
BUYERS

Financing Your Down Payment

The essentials for putting together your down payment.



2026 EDITION

BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It presents general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. Every real estate situation is different, and you should consult the appropriate professionals before making a decision about a transaction.

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COLLECTION BUYERS · GUIDE NO. 10

Financing Your Down Payment

HBP, FHSA and family gifts — build your down payment wisely

The down payment is often the main obstacle to the first purchase. Good news: several tools, which can be combined, can help you build it up more quickly and with a real tax advantage. You still have to orchestrate them in the right order.

This guide dissects the minimum down payment, loan insurance, HBP, FHSA and family donation, with concrete examples adapted to Quebec.

2026 edition note: the ceilings (HBP, FHSA) and down payment thresholds are indexed or modified regularly. The amounts below are indicative - validate them with an advisor at the time of your project.

Each chapter ends with a lined “My Notes” page to build YOUR down payment plan.

The down payment is often the main obstacle to the first purchase - but several tools, well combined, reduce it: FHSA, HBP, family donations. This guide explains how much you really need and how to put together your down payment intelligently.

The ceilings and thresholds (2026 edition) are evolving: this guide gives the logic, to be confirmed with your institution or your mortgage broker.

CHAPTER

How much do you need?

> *Calculate the minimum down payment and aim for a realistic objective.*

The minimum down payment depends on the price (2026 edition, to be confirmed): 5% up to $500,000, 10% on the portion from $500,000 to $999,999, and 20% from $1,000,000.

- Example at $400,000: 5% = $20,000.
- Example at $650,000: $25,000 + $15,000 = $40,000.
- Below 20%, loan insurance (CMHC, Sagen, Canada Guaranty) applies and is added to the loan.

Aiming for 20% avoids loan insurance, but waiting too long to get there also has a cost (paid rent, rising market). Balance is personal.

The key threshold is 20%: below, loan insurance (CMHC, Sagen, Canada Guaranty) is added to your financing, which increases the cost but allows you to buy sooner. Aim for a realistic goal rather than waiting years to avoid insurance - the market can rise faster than your savings.

> EMILIE'S ADVICE
>
> *Don't necessarily wait until you have 20%. Sometimes buying early with 5% and loan insurance is better than paying rent for two more years while prices rise. We do the math together.*

CHAPTER

FHSA: often the best starting point

> *Use the most advantageous account for a first purchase.*

The FHSA (tax-free savings account for the purchase of a first property) combines two advantages: your contributions are tax deductible (like an RRSP) and the withdrawal for a first purchase is tax-free (like a TFSA).

- Limit of approximately $8,000 per year, up to $40,000 for life (to be confirmed).
- Ideal to open early: even without contributing the maximum, this launches the account and your rights.
- Combines with HBP for a first purchase.

The FHSA combines the best of the RRSP and the TFSA: tax-deductible contributions AND tax-free withdrawal for a first purchase, within annual and cumulative limits. It's often the very first account to open when saving for a first property - starting today, to start the meter.

> EMILIE'S ADVICE
>
> *Open a FHSA as soon as the purchase becomes a goal, even with a small amount: you accumulate contribution rights and prepare for a tax-free withdrawal on the big day.*

CHAPTER

The HBP: mobilize your RRSP

> *Withdraw from your RRSP without immediate tax, then repay.*

The Home Buyers' Plan (HBP) allows you to withdraw from your RRSP - up to $60,000 per person (amount recently increased, to be confirmed) - without immediate tax, for your down payment. You then repay this amount into your RRSP over 15 years.

- An eligible couple can accumulate two HBPs.
- Funds generally must have been in the RRSP for a certain period of time before withdrawal.
- Annual reimbursement is mandatory; otherwise, the unreimbursed portion is added to your taxable income.

The HBP allows you to withdraw from your RRSP without immediate tax for the purchase, provided you repay over several years. A missed refund is added to your taxable income. FHSA and HBP can sometimes be combined - an arrangement to be validated with an advisor to maximize your down payment.

> EMILIE'S ADVICE
>
> *The HBP is a loan that you make to yourself: think about the annual repayment from the start. Well planned, it boosts your down payment without immediate tax bill.*

CHAPTER

Family donation and order of withdrawals

> *Integrate a donation and orchestrate everything fiscally.*

A donation from a close relative is accepted as a down payment by lenders, provided you provide a donation letter confirming that it is not a repayable loan. This is a subject in its own right (see the guide “Helping your child to buy”).

Order matters

FHSA, HBP, donation, unregistered savings: the order and timing of withdrawals have a real tax impact (deductions, tax refund, future contributions). A financial advisor or mortgage broker helps you sequence to maximize the benefit.

A donation from a close relative is accepted by lenders with a donation letter confirming that it is non-refundable. The order of withdrawals (FHSA, HBP, donations, savings) has a tax impact: plan it so as not to trigger unnecessary tax or weaken your financing file.

> EMILIE'S ADVICE
>
> *Before withdrawing anything, make a plan with an advisor. The correct FHSA/HBP/donation order can earn you a significant tax refund the following spring.*

CHAPTER

Beyond the down payment: the necessary cash

> *Provide all the money required for the purchase.*

The down payment is not the only amount to raise. On the day of the transaction, other amounts are required:

- **Notary fees** and disbursements.
- **Welcome tax** (billed shortly after purchase).
- **Adjustments** (taxes paid in advance by the seller).
- **Start-up costs** and small emergency cushion.

Emptying your accounts to maximize your down payment means risking finding yourself without a margin from the first month.

Beyond the down payment, plan for closing costs (notary, welcome tax, adjustments) and an emergency cushion. Emptying your accounts to maximize the down payment means risking finding yourself without a margin from the first month of ownership.

> EMILIE'S ADVICE
>
> *Always keep a cushion after purchase. A property reserves its share of little surprises in the first months: it is better to have a slightly more modest down payment and an account that is breathing.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Calculate my minimum down payment and my objective.
2. Open a FHSA if you have not already done so.

Within 30 days

1. Meet with an advisor to sequence FHSA, HBP and donation.
2. Document any family donation with a donation letter.

Then

1. Validate the arrangement with a mortgage broker before making an offer.

To build my down payment

1. Open a FHSA now to start the counter, even with small amounts.
2. Have an advisor calculate the best FHSA/HBP/donation combination for my situation.

REFERENCES

Resources & glossary

- Minimum down payment: 5% (up to $500k), 10% ($500k-$1M), 20% ($1M+), to be confirmed.
- Loan insurance: required with 20% down payment (CMHC, Sagen, Canada Guaranty).
- FHSA: deductible contribution + tax-free withdrawal for a first purchase (~$8,000/year, $40,000 for life).
- HBP: RRSP withdrawal up to $60,000/person, repayable over 15 years (to be confirmed).
- Donation letter: document confirming that a donation is not a repayable loan.

- FHSA: account for first purchase - deductible contribution and tax-free withdrawal.
- HBP: immediate tax-free RRSP withdrawal, to be repaid over several years.
- Loan insurance: required under 20% down payment; is added to the financing.
- Donation letter: document confirming that a family donation is not refundable.
- Closing costs: notary, welcome tax, adjustments - in addition to the down payment.

GO FURTHER

Quiz - test yourself

1. The minimum down payment under $500,000 is:

A) 20%

B) 10%

C) 5%

D) 0%

2. FHSA combines:

A) Nothing special

B) Contribution deduction AND tax-free withdrawal for a first purchase

C) A guaranteed interest rate

D) A welcome tax exemption

3. The HBP allows you to remove from your:

A) TFSA

B) RRSP, without immediate tax

C) Checking account only

D) Contingency fund

4. The reimbursement of the HBP is spread over:

A) 5 years

B) 10 years

C) 15 years

D) Never

5. HBP and FHSA:

A) Are incompatible

B) Can be combined for a first purchase

C) Cancel each other

D) Are reserved for investors

6. A family donation is accepted as a down payment:

A) Unconditionally

B) With a donation letter confirming that it is not a loan

C) Never

D) Only in undeclared cash

7. If the down payment is below 20%:

A) Purchase is impossible

B) Loan insurance applies and is added to the loan

C) The rate is zero

D) The notary pays

8. The order of withdrawals (FHSA, HBP, donation):

A) Has no effect

B) Has a real tax impact to be optimized

C) Is fixed by law

D) Depends on the notary

Answers

1. C - 5% on the portion up to $500,000 (chap. 1).

2. B - The best of both worlds (chap. 2).

3. B - RRSP withdrawal repayable over 15 years (chap. 3).

4. C - 15 years, with mandatory annual repayment (chap. 3).

5. B - Often the most powerful combination (chaps. 2 and 3).

6. B - The donation letter is required (chap. 4).

7. B - CMHC/Sagen/Canada Guaranty (chap. 1).

8. B - Sequencing optimizes the tax advantage (chap. 4).

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You now have the right keys in hand.

Every real estate journey is different.

If you would like to go further,
I would be happy to discuss
your project with you.



Make informed decisions.
Choose with confidence.
Live without regrets.
See you soon,
Emilie ☺

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